Pant's advice, denied that he had had a hand in any of the events. His *volte face* stunned everyone, not least Patel who was left holding the baby. T.T.K. maintained that the LIC was treated as an autonomous body and that no instructions were issued by him to it. He disclaimed that the LIC was expected to, and did purchase shares to stabilize the share market. He also stated that he had not given approval for the purchase of Mundhra shares. However, both Bhattacharya and Kamat's statements corroborated Patel's version of events. Patel told B.K. Nehru later that immediately after giving this evidence T.T.K. had visited him at his house and said, 'I'm sorry HM, today I let you down.'[21]

The Justice Bose Board of Inquiry upheld the charges of abuse of authority and negligence against Patel. Parekh also deposed before Justice Bose as an expert witness in which he explained how Mundhra's shares while formally in Mundhra's name were being held by brokers or banks since Mundhra did not have enough funds to hold these shares. During the Bose inquiry, H.M. Patel asked I.G. Patel if he could help him with his defence by writing some notes on the economics of the whole affair. I.G. Patel took leave for a week, stayed with A.D. Gorwala in Bombay and did whatever he could. D.R. Gadgil too helped H.M. Patel. When H.M. Patel became Finance Minister in 1977 and I.G. Patel called on him, the latter could not resist saying: 'It is so good to see you in this particular chair.' I.G. Patel says that H.M. knew what he meant, but quietly changed the subject. 'He was not interested in dwelling on the past; and I have never heard anyone say that he or she had heard H.M. speak on this matter.'[22]

The government recommended a penalty of removal from service for Patel and compulsory retirement for Kamat which was referred to the Union Public Service Commission (UPSC) in March 1959. The UPSC gave Patel a clean chit, exonerating him of all charges. Patel, even though he was invited to rejoin, chose to retire from service. A penalty of censure was recommended against Kamat for not exercising 'due care and caution' in fixing the prices of Mundhra's shares and for entering into an 'unbusinesslike' transaction.[23]

When B.K. Nehru deposed before Justice Bose, he was asked if it was the practice for the Secretary to record a note after the Minister had given his oral approval to a course of action. His reply showed how the relationship between a Minister and his Secretary had been redefined in the